grant support—and the financial sector has grown to meet all these requirements. The growth and development of a country is dependent upon the development of its financial sector.

Equity Markets in India

The rise of corporations or companies gave birth to equity markets. Limited liability is a crucial feature of companies. Share in equity stock of a company, now universally measured in terms of face value of shares held by any investor (promoter or non-promoter), is the maximum liability of the investor in the liabilities of the company. If the issued equity capital of a company is Rs 1 crore, divided in 10 lakh shares of Rs 10 each, and a person holds 1000 shares, their liability is limited to Rs 10,000.

Limited liability turned into a big advantage as it became possible to raise large amounts of equity capital without worrying about the risk of the unknown or unlimited liability. While equity capital was initially raised from friends, acquaintances and relatives, equity stock exchanges soon developed to enable entrepreneurs and businessmen to raise capital from any investor.

The Bombay Stock Exchange, now known as BSE, was formed as the Native Share and Stock Brokers' Association in July 1875. It was the first stock exchange not only in India but all of Asia. BSE functioned as an unregulated association of stockbrokers until 1956, when the Security Contracts (Regulation) Act (SCRA) was enacted. BSE was granted permanent recognition under SCRA in 1957.

Stock exchanges were gradually demutualized (stockbrokers ceased to be the owners) to strengthen regulation and stop equity manipulation. The National Stock Exchange (NSE) was incorporated as a demutualized stock exchange in 1992 after the infamous Harshad Mehta scam. Today, it is India's premier equity stock exchange with about 95 per cent of equity trade turnover. In October 2020, of a gross turnover of Rs 12.93 lakh crore, it